

# HS-HU701 — Principles of Management

Semester VII • 2L:0T:0P • 2 Credits

## Module 2 Exam Notes

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## 1. Management and Society

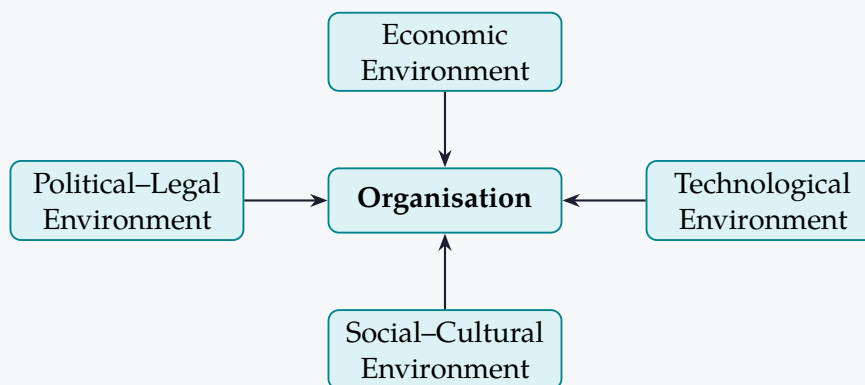
### Management and Society — Overview

**Management and Society** refers to the interdependent relationship between organisations and their social environment. Modern organisations are not isolated entities; they are open systems embedded within society and are affected by social, political, legal, and economic forces — and, in turn, they affect society.

### 1.1 External Environment of an Organisation

The external environment consists of all forces outside the organisation that can influence its performance:

#### External Environment of an Organisation



- **Economic Environment:** Includes inflation, interest rates, GDP growth, unemployment levels, and business cycles. Directly affects demand, costs, and investment decisions.
- **Technological Environment:** Pace of innovation, automation, R&D, and digitisation. Affects production methods, products, and competitive advantage.
- **Social-Cultural Environment:** Demographics, lifestyle changes, cultural values, education levels, and social norms. Affects consumer behaviour and workforce composition.
- **Political-Legal Environment:** Government stability, taxation policy, labour laws, environmental regulations, and trade policies. Shapes the rules within which organisations operate.
- **Natural Environment:** Availability of natural resources, environmental sustainability concerns, climate regulations.

## 1.2 Corporate Social Responsibility (CSR)

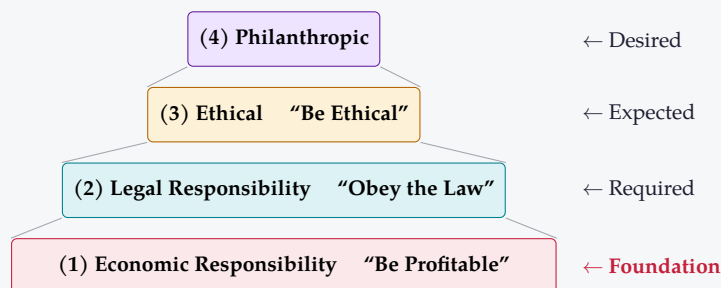
### Corporate Social Responsibility (CSR)

**CSR** is the obligation of business organisations to act in ways that protect and improve the welfare of society along with their own interests. It represents a company's commitment to operating in an economically, socially, and environmentally responsible manner beyond what the law requires.

### 1.2.1 Carroll's Pyramid of CSR

Carroll (1991) proposed four layers of corporate responsibility, from the most fundamental to the most discretionary:

#### Carroll's Pyramid of CSR



### 1.2.2 Arguments For and Against CSR

| Arguments For CSR                                    | Arguments Against CSR                                                 |
|------------------------------------------------------|-----------------------------------------------------------------------|
| Improves brand image and public trust.               | Increases costs and reduces profitability.                            |
| Attracts socially conscious investors and customers. | Management's primary duty is profit maximisation (Friedman doctrine). |
| Reduces regulatory scrutiny and legal risk.          | Dilutes focus from core business competence.                          |
| Enhances employee motivation and retention.          | Can lead to misuse of corporate funds.                                |
| Contributes to long-term sustainable development.    | Difficult to measure the return on CSR investment.                    |

## 1.3 Corporate Governance

### Corporate Governance

**Corporate Governance** refers to the system of rules, practices, and processes by which a company is directed and controlled. It balances the interests of a company's many stakeholders — shareholders, management, customers, suppliers, financiers, government, and the community.

**Key principles of Good Corporate Governance:**

- **Accountability:** Directors and management are accountable to shareholders.
- **Transparency:** Full, accurate, and timely disclosure of financial and non-financial information.
- **Fairness:** Equal treatment of all shareholders, including minority shareholders.
- **Responsibility:** Management must act responsibly toward all stakeholders.
- **Independence:** Independent board members free from management influence.

## 1.4 Ethical Standards in Management

### Business Ethics

**Business Ethics** refers to the application of ethical principles and moral standards to business activities, relationships, and decisions. It involves distinguishing between right and wrong conduct in the workplace.

#### Sources of unethical behaviour in organisations:

- Excessive pressure to meet short-term financial targets.
- Ambiguous or absent codes of conduct.
- Weak enforcement of ethical standards by top management.
- Peer pressure and cultural normalisation of unethical acts.

#### How to improve ethical standards:

- Develop and communicate a formal Code of Ethics.
- Lead by example — ethical behaviour from top management.
- Establish whistleblower protection mechanisms.
- Conduct regular ethics training programmes.
- Include ethical criteria in performance appraisal.

## 2. People Management

### People Management — Overview

**People Management** (Human Resource Management) involves planning for, acquiring, developing, and retaining people in an organisation so that they contribute maximally to organisational goals.

## 2.1 Job Design

### Job Design

**Job Design** is the process of organising tasks, duties, and responsibilities into a productive unit of work. It defines the content and method of a job and influences employee motivation, satisfaction, and productivity.

#### Major approaches to job design:

1. **Job Simplification:** Breaking jobs into small, repetitive, standardised tasks. Maximises efficiency but may cause boredom (Taylor's Scientific Management approach).
2. **Job Rotation:** Systematically moving employees across different jobs or departments. Reduces boredom and builds versatility.
3. **Job Enlargement:** Adding more tasks of similar complexity to a job (horizontal expansion) to increase variety.
4. **Job Enrichment:** Adding more responsibility, autonomy, and complexity to a job (vertical expansion). Based on Herzberg's two-factor theory — enhances motivation.

**Hackman and Oldham's Job Characteristics Model** identifies five core dimensions:

- **Skill variety:** Degree to which a job requires different skills and talents.
- **Task identity:** Degree to which the job involves doing a complete piece of work.
- **Task significance:** Degree to which the job has a substantial impact on others.
- **Autonomy:** Degree to which the job provides freedom and independence.
- **Feedback:** Degree to which the job itself provides direct performance information.

## 2.2 Recruitment and Selection

### Recruitment and Selection

**Recruitment** is the process of attracting qualified candidates for job vacancies. **Selection** is the process of choosing the most suitable candidate from the pool of recruited applicants.

| Aspect            | Recruitment                                                            | Selection                                           |
|-------------------|------------------------------------------------------------------------|-----------------------------------------------------|
| <b>Definition</b> | Attracting a pool of qualified applicants.                             | Choosing the best fit from the applicants.          |
| <b>Nature</b>     | Positive process (attract more applicants).                            | Negative process (eliminate unsuitable candidates). |
| <b>Outcome</b>    | Pool of candidates.                                                    | Single best candidate appointed.                    |
| <b>Sources</b>    | Internal (promotions, transfers) or External (ads, job fairs, campus). | Interviews, tests, background checks.               |

## 2.3 Training and Development

### Training vs. Development

**Training** is a short-term, systematic process that improves employees' specific job-related skills and knowledge for their current role.

**Development** is a long-term process aimed at improving the overall capabilities and career growth of employees for future roles.

#### Common training methods:

- **On-the-Job Training (OJT):** Apprenticeship, coaching, mentoring, job rotation.
- **Off-the-Job Training:** Lectures, case studies, simulations, vestibule training, role-playing.
- **E-Learning:** Online courses, virtual classrooms, webinars.

## 2.4 Stress Management

### Stress in the Workplace

**Stress** is the physical and emotional response to excessive demands or pressures that exceed a person's ability to cope. Moderate stress (eustress) can improve performance, but chronic stress (distress) reduces productivity and health.

#### Common causes of workplace stress (stressors):

- Work overload, unrealistic deadlines, and poor time management.
- Role ambiguity (unclear responsibilities) or role conflict (conflicting demands).
- Poor relationships with supervisors or colleagues.
- Job insecurity and lack of career growth opportunities.
- Physical conditions: noise, poor lighting, and uncomfortable workspace.

#### Stress management strategies:

| Approach              | Methods                                                                                             |
|-----------------------|-----------------------------------------------------------------------------------------------------|
| Individual (employee) | Time management, exercise, relaxation techniques, social support.                                   |
| Organisational        | Clear role definitions, flexible work arrangements, counselling programmes, realistic goal-setting. |
| Job Redesign          | Reducing overload; increasing autonomy and feedback.                                                |

## 3. Managerial Competencies

### 3.1 Communication in Management

#### Communication — Definition

**Communication** is the process of transmitting information, ideas, thoughts, feelings, and emotions from one person to another through verbal, non-verbal, or written channels. Effective communication is essential for coordination, motivation, and decision-making.

#### Types of communication in an organisation:

- **Downward:** From higher to lower levels (orders, policies, instructions).
- **Upward:** From lower to higher levels (reports, feedback, grievances).
- **Horizontal/Lateral:** Among peers at the same level (coordination).
- **Diagonal:** Across different levels and departments (cross-functional teams).
- **Grapevine (Informal):** Unofficial communication networks; fast but often inaccurate.

#### Barriers to effective communication:

- Physical barriers (noise, distance), Semantic barriers (jargon, language differences).
- Psychological barriers (perceptual biases, emotional state).
- Organisational barriers (rigid hierarchies, information overload).

### 3.2 Motivation

#### Motivation — Definition

**Motivation** is the process that initiates, guides, and sustains goal-oriented behaviours. It is the internal force that drives an individual to take action, maintain effort, and persist toward a goal.

#### Major motivation theories:

| Theory                              | Key Concept                                                                                                                              |
|-------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Maslow's Hierarchy of Needs</b>  | Five levels: Physiological → Safety → Social → Esteem → Self-Actualisation. People are motivated to fulfil unmet needs.                  |
| <b>Herzberg's Two-Factor Theory</b> | <b>Hygiene factors</b> (salary, job security) prevent dissatisfaction. <b>Motivators</b> (achievement, recognition) create satisfaction. |
| <b>McGregor's Theory X and Y</b>    | Theory X: Workers are lazy and need control. Theory Y: Workers are self-motivated and seek responsibility.                               |
| <b>Vroom's Expectancy Theory</b>    | Motivation = Expectancy × Instrumentality × Valence. Effort leads to performance, performance leads to outcome.                          |

### 3.3 Team Effectiveness

#### Team vs. Group

A **Group** is a collection of individuals who interact primarily to share information and make decisions. A **Team** is a small number of people with complementary skills who are committed to a common purpose, performance goals, and approach for which they hold themselves mutually accountable.

#### Tuckman's Stages of Team Development:

1. **Forming:** Team members are introduced; roles and goals are unclear; polite and cautious behaviour.
2. **Storming:** Conflict and competition arise as individual personalities emerge; power struggles.
3. **Norming:** Team establishes norms, roles become clear, cohesion builds.
4. **Performing:** Team works productively and cooperatively toward goals.
5. **Adjourning:** Team disbands after goal achievement; members reflect on accomplishments.

### 3.4 Conflict Management

#### Conflict in Organisations

**Conflict** is a disagreement between two or more parties over incompatible goals, limited resources, or differences in values and perceptions. Conflict can be **functional** (stimulates creativity and debate) or **dysfunctional** (destroys cohesion and performance).

#### Thomas–Kilmann Conflict Resolution Styles:

| Style                | Description                                                                 | When to Use                                                  |
|----------------------|-----------------------------------------------------------------------------|--------------------------------------------------------------|
| <b>Competing</b>     | Assert own position; win–lose approach.                                     | Emergencies; unpopular decisions.                            |
| <b>Collaborating</b> | Win–win; both parties work together to find a mutually satisfying solution. | Complex issues; long-term relationships.                     |
| <b>Compromising</b>  | Each party gives up something; middle-ground solution.                      | Time pressure; equal-power parties.                          |
| <b>Avoiding</b>      | Withdraw or postpone the conflict.                                          | Trivial issues; when time is needed to cool down.            |
| <b>Accommodating</b> | Yield to the other party; lose–win.                                         | When preserving relationship is more important than outcome. |

### 3.5 Creativity and Entrepreneurship

#### Creativity and Entrepreneurship

**Creativity** is the ability to generate novel and useful ideas. **Entrepreneurship** is the process of identifying business opportunities and organising resources to exploit them, while accepting the associated risks.

**Intrapreneurship:** Entrepreneurial behaviour within an existing organisation — employees act as internal entrepreneurs to develop new products or processes.

#### Characteristics of creative/entrepreneurial managers:

- High tolerance for ambiguity and risk.
- Intrinsic motivation and persistent problem-solving drive.
- Ability to connect disparate ideas and synthesise novel solutions.
- Strong networking and resource-mobilisation skills.

## Quick Revision — Module 2

Society, People Management & Managerial Competencies | HS-HU701

### Key Frameworks at a Glance

|                              |                                                                                    |
|------------------------------|------------------------------------------------------------------------------------|
| <b>Carroll's CSR Pyramid</b> | Economic → Legal → Ethical → Philanthropic                                         |
| <b>Job Enrichment</b>        | Vertical job expansion; adds autonomy and responsibility.                          |
| <b>Vroom's Expectancy</b>    | Motivation = Expectancy × Instrumentality × Valence                                |
| <b>Tuckman's Team Stages</b> | Forming → Storming → Norming → Performing → Adjourning                             |
| <b>Thomas-Kilmann</b>        | 5 conflict styles: Competing, Collaborating, Compromising, Avoiding, Accommodating |

### One-Line Definitions

- **CSR:** Obligation of organisations to operate in a socially and environmentally responsible manner beyond legal requirements.
- **Corporate Governance:** System of rules and processes by which a company is directed and controlled.
- **Business Ethics:** Application of moral standards to business activities and decisions.
- **Job Design:** Organising tasks and responsibilities into a productive unit of work.
- **Job Enrichment:** Vertical expansion of a job by adding responsibility and autonomy.
- **Recruitment:** Process of attracting qualified candidates for vacancies (positive process).
- **Selection:** Process of choosing the best fit from recruited candidates (negative/elimination process).
- **Stress:** Emotional/physical response when demands exceed coping capacity.
- **Motivation:** Internal force that drives behaviour toward a goal.
- **Team:** Small group with complementary skills, shared goals, and mutual accountability.
- **Conflict:** Disagreement over incompatible goals, resources, or values.
- **Entrepreneurship:** Identifying opportunities and organising resources to exploit them while accepting risk.

### Frequently Asked / Viva Questions

#### Q1. What is CSR? What are Carroll's four levels of CSR?

CSR is a firm's commitment to act ethically and contribute to economic development while improving the quality of life. Carroll's four levels are:

**Frequently Asked / Viva Questions (contd.)**

Economic (be profitable), Legal (obey the law), Ethical (be ethical), and Philanthropic (be a good citizen).

**Q2. What is Corporate Governance? Why is it important?**

Corporate governance is the system of rules directing and controlling a company. It ensures accountability, transparency, and fair treatment of all stakeholders, preventing fraud and mismanagement.

**Q3. Distinguish between job enrichment and job enlargement.**

Job enrichment adds more responsibility, autonomy, and complexity (vertical expansion). Job enlargement adds more tasks of similar difficulty (horizontal expansion). Enrichment is more motivating.

**Q4. What is Tuckman's model of team development? Name the five stages.**

Tuckman's model describes team evolution through: Forming (polite, uncertain), Storming (conflict), Norming (cohesion), Performing (productive), and Adjourning (disbanding).

**Q5. State Herzberg's Two-Factor Theory. How does it differ from Maslow's theory?**

Herzberg identifies Hygiene Factors (prevent dissatisfaction: salary, working conditions) and Motivators (create satisfaction: achievement, recognition). Unlike Maslow's single hierarchy, Herzberg separates dissatisfaction and satisfaction as two independent dimensions.

**Q6. What is Vroom's Expectancy Theory of motivation?**

Motivation = Expectancy (effort will lead to performance) × Instrumentality (performance will lead to reward) × Valence (reward is valued). All three must be high for strong motivation.

**Q7. What are the five Thomas-Kilmann conflict resolution styles?**

Competing (win-lose), Collaborating (win-win), Compromising (mutual concessions), Avoiding (withdraw), and Accommodating (yield to other party).

**Q8. What is the difference between recruitment and selection?**

Recruitment is a positive process of attracting a pool of candidates; selection is a negative process of eliminating unsuitable candidates to choose the best fit.

**Q9. What are the main causes of workplace stress?**

Work overload, role ambiguity, role conflict, poor superior relationships, job insecurity, and poor physical working conditions.

**Q10. What is intrapreneurship?**

Intrapreneurship is entrepreneurial behaviour displayed by employees within an existing organisation — acting like internal entrepreneurs to innovate, develop new products, or improve processes.

**Frequently Asked / Viva Questions (contd.)**

**Q11. Name the five core dimensions of Hackman and Oldham's Job Characteristics Model.**

Skill variety, Task identity, Task significance, Autonomy, and Feedback.

**Q12. What are the key barriers to effective communication in an organisation?**

Physical barriers (noise), Semantic barriers (language/jargon), Psychological barriers (bias, emotions), and Organisational barriers (hierarchy, information overload).

**Training vs. Development — Comparison**

| Aspect              | Training                           | Development                             |
|---------------------|------------------------------------|-----------------------------------------|
| <b>Time Horizon</b> | Short-term                         | Long-term                               |
| <b>Focus</b>        | Current job role                   | Future roles and career growth          |
| <b>Scope</b>        | Specific skills and knowledge      | Broad capabilities and personality      |
| <b>Initiative</b>   | Organisation-driven                | Individual and organisation             |
| <b>Example</b>      | Safety training, software training | Leadership development, MBA sponsorship |